

Procure Space ETF

SPCX NASDAQ

Buy	\$137.95 ▲ 2.19%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.82T
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SPCX: Space ETF Riding SpaceX Buzz and Defense Tailwinds

WHAT HAPPENED

- SPCX bounced 2.2% on the SpaceX news cycle — Musk teasing an Nvidia-powered orbital data center for next year, plus a report that SpaceX is dropping \$100B on a new Starbase. Even though SpaceX isn't public, SPCX holds proxies (Rocket Lab, Planet, Iridium, etc.) that ride the same wave when space narratives heat up.
- A separate disclosure that Trump personally owns SpaceX shares is quietly bullish for the sector — it means the guy signing space policy has skin in the game, and that's showing up in options flow: call buying is running 2:1 over puts with unusual bullish volume at \$137-\$140 strikes.

WHY IT MATTERS

Here's the connect-the-dots: SPCX is a basket ETF, so it doesn't need any single company to hit — it needs the *narrative* to hold, and right now every headline is feeding the narrative. BofA framing SpaceX's wireless push as a positive for tower operators tells you the ecosystem read-through is expanding beyond rockets into telecom, defense, and now AI infrastructure (orbital data centers). That's important because it means SPCX's addressable story keeps widening — space isn't just launches anymore, it's becoming a layer of the AI and comms stack. The stock sitting at only 27% of its 52-week range (\$137 vs a \$225 high) means there's real room to run if sentiment shifts from "cautious" to "believer" — you're not chasing a top here.

POLICY & POLITICAL WATCH

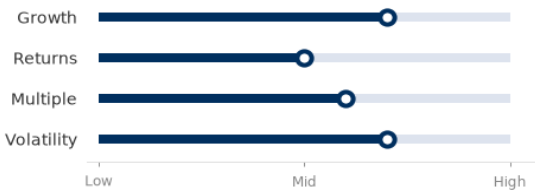
The FY2027 defense budget markup is the big one to watch — Space Force funding has been growing double-digits annually and the current administration has signaled it wants to accelerate that, which flows directly into contracts for SPCX holdings like Rocket Lab and Iridium. Also on the radar: the FCC's ongoing spectrum allocation fights for satellite broadband (favorable rulings help Iridium/Globalstar/Viasat) and any executive action on commercial launch licensing reform, which the White House has hinted at to reduce FAA bottlenecks. Bottom line — the regulatory wind is at this sector's back in a way it hasn't been in years, and that's before you factor in Trump's personal SpaceX stake, which realistically makes anti-space policy a non-starter for at least three more years.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$137.95
12M Price Target	\$165.00
Upside / (Downside)	+19.6%
Market Cap	\$1.82T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$148.00	\$142.00	\$130.00
6 Months	\$175.00	\$155.00	\$120.00
1 Year	\$210.00	\$165.00	\$110.00
2 Years	\$260.00	\$195.00	\$95.00
5 Years	\$400.00	\$275.00	\$130.00
10 Years	\$650.00	\$425.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+0.94%) and Comm Services (+0.77% today, +2.44% over 5 days) — both benefit from the same AI/space infrastructure narrative driving SPCX. Defense-adjacent names are quietly bid as budget season approaches.

COOLING OFF: Utilities (-1.61% over 5 days) — classic sign money is leaving defensive plays and rotating into risk. That's a tell that investors are getting more aggressive, which favors thematic ETFs like SPCX.

ROTATION WATCH: Money is moving from safe/dividend into growth-themed baskets. The AI trade is broadening out — first it was chips, then power, now it's rolling into space and satellite comms as the "next leg."

RELATED PLAY: If SPCX runs, the picks-and-shovels names benefit too — think tower operators (SBAC, AMT) on the wireless-from-space angle BofA flagged, and semiconductor names selling into satellites (like the Nvidia orbital compute story).

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): The clearest public "small SpaceX" — winning launch contracts and moving up the value chain into satellite manufacturing.
- IRDM (Iridium): Direct beneficiary of the satellite-to-phone trend BofA highlighted; steady cash flow makes it a defensive pick within an offensive sector.

SPCX CONTEXT: SPCX is lagging its top holdings because it's diluted across ~35 names, some of which are legacy sat-TV businesses that don't move on the AI/space narrative. That's actually the **reason** to own it — you get the theme without single-name blowup risk. If the sector keeps running, SPCX catches up mechanically.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$132-136 on macro pullback days

Time Horizon: 12-24 months

Thesis Invalidation: Space Force budget cuts >15% or major launch failure hitting sector confidence

Hedging: Pair with a short on a single richly-valued satellite name to isolate ETF-level risk